# Kansas City Fed President Jeffrey Schmid on the First Jackson Hole of the Warsh Era

**Podcast:** Odd lots

# AI Executive Summary

1. Core Thesis In this episode, Kansas City Fed President Jeff Schmidt discusses the interplay between financial innovation and traditional monetary policy mandates at the Jackson Hole Economic Symposium. He argues that while payment systems are evolving toward instant "atomic settlement," they rely heavily on underlying liquidity and yield curve dynamics. Furthermore, Schmidt emphasizes a return to normalizing economic conditions while addressing inflation targeting (2%), highlighting how structural labor shifts—specifically regarding the retiring Baby Boomer generation—are influencing the economy. The discussion also explores the new Federal Reserve leadership's preference for debate over directive "forward guidance" and the role of interest rate neutrality ("R*") in capital allocation decisions.

2. Key Arguments & Data

3. **Payments Infrastructure:** Movement toward atomic settlement (instant, reconciled payments) is disruptive but requires proven liquidity to support; friction and cost are being eliminated through technology innovation.
4. **Yield Curve & Credit Demand:** Short-term policy rates influence the central end, but long-term yields are driven by supply and demand between commercial and public debt sectors. High bond yields act as a signal for risk and can dampen credit decisions (behavioral impact).
5. **Labor Market Structure:** Unemployment has dropped from 4.3% to 4.1%. The retirement of Baby Boomers (~4 million/year) creates structural labor changes; Schmidt worries about intellectual knowledge loss but views the net demographic shift as positive for growth.
6. **AI and Crowding Out:** The data center/AI boom is driving demand for labor, equipment, and freight capacity (steel, copper) which competes with commercial sectors and other industries ("crowding out"). Commodity surges are affecting inflation dynamics.
7. **Inflation Mandate:** Despite growth, inflation has not yet returned to the 2% target; Schmidt believes the Fed has not done its job fully on

this front, necessitating careful decision-making to avoid overshoot while tightening from mid-threes.

8. **FOMC Communication Style:** Chair Jerome H. Powell's predecessors are moving toward debate rather than a "family fight" or hierarchical directive style. Dissents remain valuable tools to articulate different risk weights between inflation and full employment mandates.
9. **R* (Neutral Rate):** Financial conditions are normalizing, but R* is likely at a higher base level than pre-2008 levels. Short-term rates affect current asset decisions (inventory), while long-term rates (10/20 years) affect major capital planning.

10. **Task Force & Research:** There is limited direct dialogue between task force groups and regional presidents currently; more interaction is expected as research findings emerge to clarify communication effectiveness.

11. Actionable Takeaways

12. **Monitor Inflation Signals:** Watch how the Fed balances its dual mandate (inflation vs. employment) given that inflation remains above 2%; adjust expectations for rate hikes based on yield curve movements and credit demand competition.
13. **Prepare for Labor Shifts:** Anticipate structural labor market changes driven by retirement demographics and AI; consider how these shifts impact hiring and skill requirements in the commercial sector.
14. **Watch Commodity Markets:** Evaluate potential "crowding out" effects in commodities (grains, steel, copper) caused by data center infrastructure build-outs, which could act as an inflationary driver.
15. **Adjust Capital Planning:** Business leaders should recognize that financing decisions for 10–20-year horizons are sensitive to long-term yields, while short-term credit lines affect immediate inventory and asset purchasing decisions.

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# Full Transcript

Our hometown is not a test tube. 90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart radio app. Apple Podcasts or wherever you get your podcasts. Bloomberg Audio Studios. Podcasts, radio, news. Well, hello and welcome to another episode of the AutLots podcast. I'm Tracy Allaway. And I'm Joe Waisenthal. Joe, we're back in Jackson Hole. Where else could we be? I guess if you're watching on video, it's pretty obvious. If you're listening on audio, maybe there's some mystery. But if you're listening on audio, switch and watch us on video and you'll see.

OK, for the old school audio listeners, we are back. And the backdrop to this is always literally beautiful, right? We have the mountains in the background. But I think I say this every year. I think this genuinely might be one of the most interesting Kansas City-fed economic symposiums ever. The most interesting until the next year. But yes, there's quite a bit going on, both in terms of the substance of what everyone's here to talk about, plus the context of so many unresolved questions in the economy and so forth. thrilled to be here. All right well we should get into it and I'm glad to say we do in fact have the perfect guest. Perfect guest. We're going to be speaking with Kansas City Fed President Jeff Schmidt so thank you so much for coming back on all thoughts. Well welcome to Jackson Hole I mean this is amazing 49th year so next year's the big 50. Oh wow. We'll definitely be back for that too if you'll have us. Oh absolutely I mean it's it's a Such an amazing thing the Kansas City Shed created half a century ago and we just keep on trying to add to it as we go forward. Well thank you for giving us an excuse to come back to one of the world's most beautiful places every year. So the theme of this year's symposium is financial innovation in payments but it's coming against this backdrop of general economic uncertainty and pretty you know high bond yields. Is there a connection between the two? Yeah so let's let's park that last question

because it's a good one and let's talk a little bit about why this is important because some people would say oh man payments that's boring but actually yeah yeah but but it you know we want it ultimately as the Federal Reserve make payments boring I mean we move five to ten trillion dollars a day through the systems through multiple different pipes payment pipes what's really fascinating about what you're going to see in the next couple of days with some of the research that's being done is We're moving toward, I've seen the words atomic settlement in the marketplace, which is actually when payments are actually going to be instant. And through our lives, at least my life, You've always talked about floating fees. There's always been a friction and a cost to payments. Well, this innovation that we have now in technology is going to move money from me to you instantaneously, and it's going to be reconciled instantaneously. So that's the atomic side of this whole settlement business. And it's going to be one, very innovative, but two, it's going to be somewhat disruptive too. And so that begs the question about how do you accommodate a system that's instant?

It gets back to your last question is that we're going to be talking a lot more as we go forward about two main things in our world. One is duration, duration of assets. The second is going to be liquidity. And so when you think about it, if the payment is instant, then there's got to be liquidity, proven liquidity behind it, to settle it. And so I think there's a couple things in your question that I think it begs. One is what's happened in the economy that's changed the nature of the yield curve, the price of money, be it short term, long term? Well, a lot of things. I mean, the economy is moving along nicely. It's growing.

As long as we can try to get this inflation thing back to our mandated 2%, we're going to see a more normalized yield curve. So if you think historically, whatever's happening, the bond market's pretty good at pricing risk and price. And so the nature of what's happening for me is I try to simplify this because I'm not that smart. It go back to supply and demand. If prices are changing, then there's a dynamic between supply and demand that's occurring. It could be a bond prices or corn and wheat, whatever it is. It gets down to that when it comes to economics. The obvious move here would be to dive in a little bit more on the inflation question. But maybe that's obvious. Maybe instead, I'm curious, since the last dots actually

Unemployment has fallen from 4.3%, I believe, to 4.1%. That fits with what you're saying, the economy is growing. When you think about the pace of economic gains or just the rapidity of the growth, have you lifted up your general view of what trend state growth looks like? Have you become more optimistic about the durability of the expansion? I'm pretty optimistic about the durability.

I think about last year, I dissented a couple as a voting member of FOMC. I talked a lot about last year, still do talk about that the labor force is going through a very fascinating structural change. I mean, people in my generation, the baby boomers, I mean, we're retiring at about 4 million people per year. So just when you think about the dynamic of what that creates in the labor force, one, it creates opportunities, two, it creates risk. I'm signing more retirement letters in the last three months than I have for the last three years. But I worry about the intellectual muscle that we're losing in that. So what that does is that challenges my 25, 35, 45 year old fed.

economists and bankers saying, look, how do we think about what the job entails and how do we use AI to transfer what the 65-year-old retiree knows to what they need to know now, not wait till they're 55 or 65? So the labor force is changing. I mean, immigration policy has an influence on it as well. But we're going to continue to go through this probably for the next decade as we kind of see the baby boom generation go out of the labor force and kind of the new entrance come in. But that's all going to be net positive for the economy. OK, well, I'm going to ask the obvious question then and go back to inflation and what's going on with bond yields. So the third year above 5%, the new Fed Chairman Warsh, he says that, you know, yields can be a valuable signal for policy makers such as yourself. They can say something about the economy. When you see those yields, what are you seeing? What's your takeaway?

So I would put it in a much more macro context of just the price of money up the curve, right? So we have, you know, with our policy making tools, we have influence on the short end. We don't really have any influence on the longer end, even though I will say this, through the last couple cycles, the 08, post 08 and post 2020 cycle, we did take some actions inside of our

balance sheet to pull duration into our balance sheet, which did influence some of the longer rates. So there It's not absolute that we don't have influence, but it would be a more of a balance sheet action that that would happen. For me, what's really fascinating with a growing economy and this whole technology and AI influence is what's creating demand for credit inside that for the commercial sector and the public sector. So here again, back to supply and demand. If there's more demand for credit, you're going to have a competition between commercial and public credit. And so that's going to affect the price. So all I can say is it seems to me like the demand or the yield curve is fairly normalized inside of an economy that's growing somewhere between two and three and a half percent and that the price of money is going to be influenced by some of the more dynamic gross growth curves inside GDP, most notably inside the data center bill, the AI bill. What I need to try to figure out is what percentage of that growth number is in this kind of cycle. I think about a flywheel. The more it spins, you've got to figure out who that's a affecting where the risks are and I think that's what the Fed needs to do more of. When you talk to businesses in your district, do you encounter entities that perceive themselves to be as essentially competing with the data center build out for labor or for equipment or for freight capacity or anything and that sort of Real crowding out phenomenon that like do you do you hear that from people you talk to every day? I mean think about the commodities that it takes that the data center is demanding that that apply to other industries I mean think about the machinery industry steel copper right so so I mean Lately, not that the AI influences commodities like grains, they've surged the futures market on that. So absolutely, that's why we got to peel the onion back.

try to figure out what parts of the growth onion are being driven specifically by this kind of boom effect that technology and AI and data centers is having from a commodity standpoint to other industries. I think that's a really important part of us getting inflation back down to two. Okay. So speaking of getting inflation back down to two, I mean, in addition to saying that bond yields can be an important signal for policymakers, Warsh has also suggested that higher yields can kind of do some of the Fed's work for it in the sense that, you know, if the 30-year yield is going up, you're going to have higher mortgage rates, dampening on credit, that sort of effect. Is that the case for you? Do you do you see a tightening effect from

those higher bond yields? So I would say think about What's happened in the longer dated treasury market and really think about how you would react as a user of that credit so the competitive nature between commercial and public debt that price is going to influence it's going to create a behavior it's either going to slow your decision.

to do that, or you might think that the returns on that are so astronomical that an 80 basis point move in the tenure isn't going to affect your business model. But I think moving rates, especially policy rates, I think has a behavioral impact. And it should, right? I mean, you're trying to influence the movement of capital and credit. And clearly the market is pricing and repricing risk and demand for that credit. And that's why I think you've seen the longer ends change. But I think that your question is a great one. But I would think that as the price goes up, it is going to influence whether or not you're going to have accommodative or restrictive types of behaviors. So OK, maybe moves at the long end of the curve could have some behavioral impact on the proclivity to invest or build, et cetera. But ultimately, presumably, the Fed has to do If inflation continues to run hot, do you worry, and it's been years now of unacceptably hot inflation, just in the current part of the cycle that we're in right now, do you worry about a long-term price for the economy if the Fed right now is not perceived as taking this inflation seriously?

and acting on it directly? I absolutely do. I mean, I've been fairly public about what I, you know, my proclivity to say, look, I think the labor force is in a pretty good place. We haven't done our job yet on inflation. So the question is, and I would say that it gets harder as you trend toward two, right? Because everybody worries, it's a natural thing, worry about overshoot. Can you make decisioning either you're too slow or you're too aggressive? And I think that's the nature of the journey from three to two. But we clearly have had a bit of a surge into the mid threes. It has to be addressed. That's our mandate. It's one of the two mandates and we have to...

You've seen the narrative from the last meeting. There was several dissents. I think there were very thoughtful dissents. I think it's consistent with what Chairman Warsh wants is that great debate because he's been pretty vocal

about we have a choice in the Fed to manage inflation to two. And we should be up to that task. And so I think the things he's going to... People are very, they're anticipating this presentation on Friday. Maybe he'll give us more insights. I mean, gotta give him a little bit of room, right? He's still only a few weeks in, but I like, he has a vast imprint of what he believes the Fed should be and what it should do. And I think I'm in his camp as far as the mission and the mandate. Have you ever wondered how Jesse Cole took the Savannah bananas from this?

We had a 6 million failure last year. We're going to have bigger ones as we go. To this? We've got shareholders and investors that have reached out to us regularly. And the answer is always no. Or why L. Duncan would say this about a Netflix sports broadcast. Sometimes we're going to take really big swings and we're going to frickin' whiff. Then the deal is the show for you. It's a Bloomberg podcast hosted by me, Alex Rodriguez. And me, Jason Kelly. We talk to the biggest names in the world of sports and business, including NBA Hall of Famer, Tracy McGrady, on one of his biggest blunders. I think I've created some magical. Mm-hmm. Well, I struck out. And you'll even get some of my baseball hot takes. I've had owners tell me it doesn't matter. The game has to be fixed. It's broken if we have to lock out the whole year, we will. New episodes air every Thursday. Don't miss out.

So you mentioned dissents and I know you're not voting this year but you have voted previously and you have dissented previously so I have a sort of behavioral FOMC question but like what is the thought process when you decide actually instead of just voicing some uncertainty here I'm actually gonna go for a dissent like what is the hurdle that you have to get over before you're willing to kind of I don't know push the dissent button I don't even know how you record your actual decision but so it is here again

There's not a lot of mystery to it, right? You've got 19 people that have these amazing teams. Joe Gruber's our chief economist. One of the brightest people I know when it comes to. trying to synthesize what's happening in the economy and try to have this discussion and debate in the 10th district about how do we represent the seven states that we represent. So I'm a bit of a communication transmitter, right? I go around the district, I listen to what

businesses and leaders, local leaders are thinking and worrying about. I bring that to the FOMC table. I speak my piece on behalf of the 10th district. I go back to the district and I say, this is what's happening with the FOMC. So, you know, this dissent is just an action that really has a life of its own kind of between meetings. And as you know, we love data, right? We all like to, you know, but we have to be careful about, you always have to think about where is the data today and how is it trending?

And then you have to rebalance your mandate between inflation and full employment. And so everybody's going to have a little bit different opinion about that friction. And at the end of the day, we're all singular about it. But the dissent is really a mechanism of saying, I think the risks between those two mandates are weighted differently than you think they are. And that's the thing I love about the conversation. Let's talk more actually speaking of the conversation. Chairman Warsh has described the quote, good family fight, which sounds like a good debate. Can you tell us, does the tenor feel different? I mean, the idea of all of you coming together and debating and going back and arguing, it feels like I would hope that's how the FOBC is operating. Does the new approach feel any, does it feel distinct versus past FOBC chairs?

now are into two 10 years. I absolutely loved working with and around Jay Powell. I think he had a lot different kind of style and mandate relative to the cycle that he was in the middle of. I mean, we had the the pandemic challenge, then we had the inflation challenge. I really enjoyed, and by the way, it was hard to descend because I really have a deep respect for the way he thinks about the market and the economy. I actually have a great appreciation for what Chairman Warsh talks about. And I think less about the family fight is more about being willing and accepting to the debate. And so, you know, look, you can get into these environments. They're big, they're heavy. There's lots of issues that you want to deal with. But to have a chairman on any board, and I used to be chairman of bank boards, you want people's truths.

You know, you want to see where they stand, because frankly, a lot of times those truths may impact the way I think about things. So it's really more about being transparent about and willing to accept a debate versus saying,

look, you've got other leaders that say, you know, my way or the highway. And so that's, I don't like that style. I'd prefer the openness of a debate. Wait, so say more about the Fed chair's role in in the family fight, I guess, because you hear, Chairman, you think, you know, head of the household. If you look at it that way, his role could either be to try to get everyone on board with what he thinks or where the economy is going at any particular moment in time, or his role could be to try to synthesize all those different viewpoints and come up with a coherent strategy and sort of transmit that communication. Which of those two roles is it?

I would say that he has left an imprint on his experience with the Fed that I have a huge amount of respect for. I mean, he was a governor through the O8 crisis. He's spent the last 15 years really steeped in economics and policy, monetary policy. A lot of the things he knows are no secret. So I have a high amount of respect for what he thinks, because he's lived it. He's studied it. And so I'm always listening to not only him, but there's 11 other presidents that probably have double my IQ that I have just a real amount of respect for. But I do like where he's come from, where he is in this point in time, and where I think he can lead us as we continue to really at this dual mandate that we have. I think he, and look, he's been very public about what he feels and how important the Fed mission is to the greatest economy on the globe. And so I really appreciate my interactions with him and I think he's a great leader. I'm gonna try and ask the version of the forbidden question, which is how much easier Would you perceive the task of getting inflation to target B were the deficit smaller? How much would that make your life easier? Or let's say, for example, the deficit, there was a plan to reduce the cyclical deficit to something that resembled what it was 10 years ago or something like that. How much would that make your life easier in terms of getting back to inflation?

We elect people in Congress and in the executive branch to really try to solve those problems. I mean, it kind of gets back to this whole discussion that we've had very actively in the last few weeks and months about our reaction function. That really is where the Fed's role is, is how do we react to the data that is created by decisions that are either legislated or fiscal, and how that affects the economy, but more importantly, the mandates that we have by Congress. So it's a little bit like trying to discuss us, what is the

optimum size of the Fed's balance? Well, at the end of the day, it all depends. It depends on the kind of reserves that you want in the system. It depends on how either fragile or strong you think the markets are at that given time. And so it's just relative. We just have to react well to continuing to get this inflation number down as long as labor is full.

Okay, I'm going to turn to, I guess, a topic that's perhaps even more subjective than the optimum size of the Fed's balance sheet and talk about Rstar. Okay. Oh boy. So, I mean, there's a debate about whether or not like Rstar has just naturally been increasing recently in the state of financial conditions. When you look at financial conditions now, do you think something fundamental has changed in the U.S. economy such that perhaps we're more accommodative than we would have been otherwise? So I would say that if you think, I was a banker in the 08 cycle. You know, it'd be hard to second guess the actions of the Federal Reserve and the FOMC back when that was happening. Then you kind of, you know, your economy kind of gets back on track. Then you have to deal with the pandemic, you know, a few years later. So now we're out of that. So the way I would frame this is I think actually things are normalizing when it comes to our star. However, I would also say that we may be in a higher base level of R star, then we were back even pre-08. So, yeah, I think from my standpoint personally, I think we're at a fairly accommodative place for rates right now. And I think we're gonna, we continue to talk about the nature of R star relative to where the yield curve and rates are today. But for me, I think things are pretty accommodative. You mentioned being a banker just out of curiosity.

Do you ever hear of a company being like, oh, you know, we want to build that factory, but they raised rates by 25 basis points last month and now it no longer checks out. Have you ever heard of that? Very rarely. Yeah, I never heard it. However, I will say this, those decisions are much more of a long dated decision. So that's why the 10 year is such a benchmark because you're really you're making that decision for 10 and 20 years. And the financing and the leverage of capital becomes much more of a long dated kind of thing. Now, I will say this, it's much more sensitive to things like current asset stuff. So decisions on should I pre-buy inventory. If I'm going to pay another 25 or 50 basis points on my line of credit, maybe I stall that

decision. So that's when the restrictiveness of the short rate starts to influence more of the current decisioning in the market. Just real quickly, you mentioned the Fed's reaction function. Chairman Warsh has talked about his dislike of forward guidance, et cetera. And it's clear he has a different communication style than his predecessors. But you know, there was a different communication style under the Greenspan years and so forth. That being said, do you think either the public or the other members of the FOMC have a clear handle right now on either his or the Fed's reaction function?

That's one of the more exciting things I think that's coming to come out of the task force debate is I think we're going to get information about things like like data sets. We're going to have much more clarity about communications, what works, what doesn't. There's been lots of things written on. Where is the Fed's role, let's say, in a market crisis scenario? Let's say post-08. Where should we be? Most of that is kind of trust and confidence. You're trying to instill. But once things normalize, then I think I was watching something that Chairman Warsh talked about, better the Fed be on the page B12 versus A1. And there's something to be said about that. It's a little bit like this conference. We don't want payments on on even B12. We just want to make sure that payments are working well, the technology is resilient and it's protected. And so that, you know, I think you can adapt.

all the time the communications that you that you're creating where the Federal Reserve is concerned. More important that the market has a function to decide risk and price. And you want to make sure that market's strong and that you're not making it in any way fragile with some of your communications. Are the task forces in dialogue with the regional Fed presidents have they sought you out to discuss some of the things they're looking into? You know, there's a lot of relationship overlap with the 15 that were named, and I suspect that there is a lot of discussion around that. I think if Chairman Warsh has had long relationships with these folks, but I think that'll come. I think that'll come as the information, some of the research emerges, then I think there's going to be much more interaction and dialogue between those groups and the F1C. But as of now, not really so much. Irvin King isn't on the phone too, asking how to change the comms policy. OK. All right. Well, Jeff Schmidt, thank you so much for

coming back on all thoughts. Really appreciate it. I love doing this. Thank you. Well, Joe, interesting start to what I am sure is going to be a very interesting symposium.

Really fun. I love this two years in a row. We've talked to Jeffrey at the start. It hadn't clicked to me that next year is the 50th. So we have to come to that. But obviously always fun to talk to the person who's throwing the party, you know, like that's the, that is the perfect guess. Well, ask him what his plans are for the 50th anniversary. I do think the fact that the task forces don't seem to have been like in direct dialogue with the presidents just yet is kind of interesting. That struck me for sure. And so I wonder what's going to happen when they finally, I guess, release their findings. Jeff seemed to suggest that that's when they were going to start the actual dialogue about it. No, there's going to be, look, I have a lot of questions about the task force, because look, there's the task forces. There's a million ideas about different ways we could be measuring the economic data. There's a million ideas for different ways to communicate and so forth. And all that's great. And it's always, I think, probably a good idea to have fresh eyes. On the other hand, in the here and now, I think the big question is like, yeah, okay, but inflation is higher, you're going to raise rates, right? That is to my mind. And so this is, I still think there is some ambiguity about the reaction function of the new sort of Kevin Wars approach, et cetera. So I'm very excited to hear about the task forces, et cetera. But I think for a lot of people's perspective, there's still the Okay, yeah, but inflation is still over 3%. The immediate problem of inflation above target. Well, I guess we'll see what Worsh says on Friday. But in the meantime, shall we leave it there? Let's leave it there. Okay. This has been another episode of the Outlawz podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Jill Weisenthal. You can follow me at the Stullwork. Follow our producers, Kerman Rodriguez at Kerman Armand, Dash O'Bennett at DashBot, Kale Brooks at Kale Brooks and Kevin Lozano at Kevin Lloyd Lozano.

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